IRDAI Master Circular on Health Insurance Business 2024 (Ref: IRDAI/HLT/CIR/PRO/84/05/2024)

Chapter 1: Moratorium Period & Non-Contestability of Claims

1.1 Reduction of Moratorium Period from 8 Years to 36 Months (5 Years to 3 Years)

Circular Reference: IRDAI/HLT/CIR/PRO/84/05/2024 | Effective Year: 2024 | Issued by: Insurance Regulatory and Development Authority of India (IRDAI).

Clause 1.1 (36-Month Moratorium Rule): After completion of thirty-six (36) continuous months of coverage (3 years) under a health insurance policy across one or more insurers via portability, NO health insurance claim shall be contestable by the Insurer on grounds of non-disclosure or misrepresentation of a Pre-Existing Disease (PED), except in cases of proven established fraud.

Clause 1.2 (Maximum PED Waiting Period Cap): No health insurance product in India shall impose a Pre-Existing Disease (PED) waiting period exceeding 36 months of continuous coverage.

Regulatory Provision	Old IRDAI Rule	New 2024 Master Circular Rule	Legal Impact on Policyholder
Moratorium Period	60 Months (5 Years)	36 Months (3 Years)	Insurer cannot reject claim for non-disclosure after 36M
Max PED Waiting Period	48 Months (4 Years)	36 Months (3 Years)	All pre-existing diseases covered after 3 years
Free Look Period	15 Days	30 Days	100% refund of premium if cancelled within 30 days
Grace Period (Renewal)	15 Days (Monthly)	15 Days (Monthly) / 30 Days (Annual)	Coverage continuity maintained during grace period

Chapter 2: Cashless Everywhere & Mandatory Turnaround Times (TAT)

2.1 1-Hour Pre-Authorization & 3-Hour Discharge Mandate

Circular Reference: IRDAI/HLT/CIR/PRO/84/05/2024 | Topic: cashless_turnaround.

Clause 2.1 (1-Hour Cashless Authorization Rule): Every Insurer and Third Party Administrator (TPA) shall decide on cashless pre-authorization requests immediately and strictly within ONE (1) HOUR of receipt of the request from the hospital.

Clause 2.2 (3-Hour Final Discharge Rule): The Insurer shall grant final cashless discharge authorization within THREE (3) HOURS of receiving the discharge request and final bill from the hospital. In no case shall the policyholder be made to wait for discharge beyond 3 hours.

Clause 2.3 (Penalty for Delayed Discharge): If the Insurer delays discharge authorization beyond 3 hours, any additional hospital bed/room charges levied by the hospital for the extended stay shall be borne strictly by the Insurer from the Shareholders' Fund and NOT deducted from the Policyholder's Sum Insured.

Clause 2.4 (Death During Treatment): In the event of death of the insured patient during hospitalization, the insurer shall immediately settle the claim request and ensure the mortal remains are released from the hospital without delay.

Cashless Milestone	Mandatory IRDAI TAT	Consequence of Insurer Breach
Emergency Pre-Authorization	Within 1 Hour (60 Mins)	Escalation to GRO / Bima Bharosa Portal
Final Discharge Approval	Within 3 Hours (180 Mins)	Insurer must pay extra hospital detention/room charges
No-Claim Bonus / Discount	Reward for Claim-Free Year	Option to take increased SI or discount in renewal premium

Chapter 3: Grievance Redressal, Claim Rejection Rules & Insurance Ombudsman

3.1 Ban on Arbitrary Claim Rejection & Ombudsman Escalation

Circular Reference: IRDAI/HLT/CIR/PRO/84/05/2024 | Topic: grievance_redressal.

Clause 3.1 (No Claim Rejection Without Committee Approval): No claim shall be repudiated/rejected directly by a TPA. Repudiation of any claim requires explicit approval from the Insurer's three-member Claims Review Committee (CRC).

Clause 3.2 (No Rejection for Want of Documents): No claim shall be closed or rejected merely for want of documents. Required documents must be called for at the time of admission itself.

Clause 3.3 (Insurance Ombudsman Award Compliance): If an insured escalates a complaint to the Insurance Ombudsman (for claims up to Rs. 50 Lakhs) and an Ombudsman Award is passed in favor of the policyholder, the Insurer MUST comply with the award within 30 days. Failure to comply attracts an unconditional penalty of Rs. 5,000 per day payable to the complainant, plus penal interest at 2% above the prevailing bank rate.

Clause 3.4 (Portability Rights): Policyholders may port their policy to another insurer at least 45 days before renewal with 100% credit for served waiting periods and accumulated No-Claim Bonus.